

Exploring Excess Return Generation through European Fixed Income Arbitrages

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duarte2007risk pose the question that motivates this paper:

Do fixed-income arbitrage strategies earn genuine alpha, or are their returns simply compensation for systematic risk — “picking up nickels in front of a steamroller”?

Their answer: on U.S. markets, the more complex strategies generate **significant alpha** that survives a 10-factor benchmark.

We take the question to a new setting:

- **European** fixed-income markets, and three strategies with a **deterministic payoff at maturity** — certain regardless of the path of market variables: the **BTP Italia** basis, the **CDS–Bond** basis, and the **iTraxx CDS Index Skew**.
- By contrast, Duarte’s trades have historically earned positive average returns, but even if held to maturity *they do not guarantee a positive payoff*.

RQ1. *Does alpha exist?*

Do three European fixed-income arbitrage strategies—the BTP Italia inflation-linked basis, the corporate CDS–Bond basis, and the iTraxx index skew—generate excess returns that survive standard benchmark factor models?

→ Section 3

RQ2. *Does alpha survive aggressive risk adjustment—and is it state-dependent?*

Does the alpha survive when the factor universe is enlarged to **85** controls and the relevant risks are chosen by the data (rolling PCA; Adaptive Elastic Net with stability selection),—, and *which* risks does each strategy load on? Does the residual alpha vary systematically with intermediary funding stress? → Section 4

RQ3. *Why does alpha persist?*

Are the three mispricings linked to one another, and is the co-movement consistent with the slow-moving capital framework of **duffie2010presidential**?

→ Section 5

We extend **duarte2007risk** in four respects:

- 1 **New strategies, never studied in this combination.** To our knowledge, BTP Italia inflation-linked basis, European CDS–Bond basis in iTraxx Main, and iTraxx index skew across the four sub-indices have never been studied jointly as systematic arbitrages.
- 2 **Strategies with deterministic terminal payoff.** Unlike Duarte's swap-spread, yield-curve, volatility-selling and capital-structure trades, each of our three converges to a *certain* profit if held to maturity.
- 3 **Far more demanding factor controls.** Three classical benchmarks (**duarte2007risk**, **brooks2020active**, **fung2004hedge**), *plus* rolling PCA on 85 candidate factors (**ludvigson2009macro**), *plus* Adaptive Elastic Net (**zou2009adaptive**) with stability selection (**meinshausen2010stability**).
- 4 **We test *why* the alpha persists.** We map our findings to the predictions of the slow-moving capital literature (**duffie2010presidential**, **brunnermeier2009market**, **mittchell2012arbitrage**, **boyarchenko2016trends**), and exploit holder-base heterogeneity in the European setting as the source of identification.

Basis definition (following [fleckenstein2014tips](#), adapted to the Italian instrument):

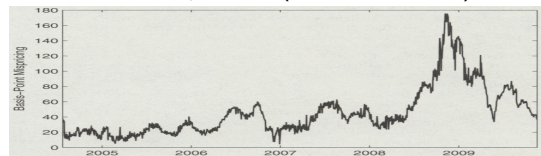
$$m_t^{\text{BTPi}} = \underbrace{y_t^{\text{BTPi}} + \pi_t^{\text{swap}}}_{\text{synthetic nominal yield}} - y_t^{\text{nominal BTP}}$$

Why this differs from TIPS:

- **No ballooning risk.** Inflation revaluation paid out semiannually $\Rightarrow$ inflation factor resets to unity at each coupon $\Rightarrow$ no contamination from default exposure on accumulated revaluation.
- **Retail bondholder base.** Primary placement reserved to households + *premio fedeltà* for buy-and-hold $\Rightarrow$ preferred-habitat investors with no leverage, no margin calls, no forced unwinding.

Consequence: the BTP Italia basis behaves differently from TIPS during stress—and persists.

TIPS basis pre-2010 (Fleckenstein 2014):



TIPS basis post-2010: has vanished



Basis definition:

$$m_t^{\text{CDS–Bond}} = \text{CDS}_t^{\text{spread}} - z_t^{\text{spread}}$$

where z_t^{spread} is the bond's z-spread over the euro zero-coupon swap curve. A *negative* basis means credit protection via CDS is cheaper than the bond-implied credit spread.

The trade:

- Buy the corporate bond (earn z-spread); buy CDS protection (pay lower CDS premium).
- **Locked-in positive carry** until convergence or bond maturity.
- In default: bond recovers RR on par; CDS pays $100 - RR \Rightarrow$ **combined position returns par regardless of recovery** (provided CDS tenor $\geq$ bond residual life).

Universe: on-the-run iTraxx Europe Main 5Y constituents (investment-grade, liquid). All CDS centrally cleared (LCH/ICE) $\Rightarrow$ no counterparty credit risk on the protection leg.

Restriction to negative basis: the reverse trade requires reverse-repoing the corporate bond, subject to recall risk in stress (**bai2019cbs**).

Basis definition:

$$\text{Skew}_t = S_t^{\text{index}} - S_t^{\text{intrinsic}}$$

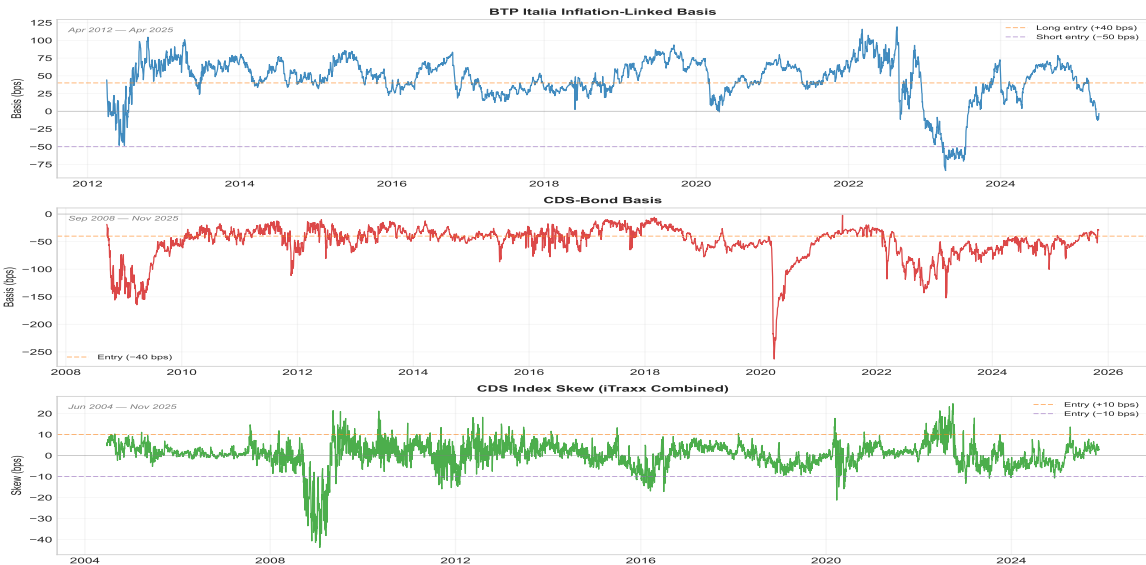
$S_t^{\text{intrinsic}}$: the index's no-arbitrage spread implied by its single-name constituents (market convention). A positive (negative) skew indicates that the index trades *wide* (*tight*) relative to the sum of its parts.

Why a non-zero skew can persist:

- **Liquidity differential.** Single-name CDS are far less liquid than the on-the-run index, with wider bid-ask spreads and shallower order books, especially in stress (**junge2015liquidity**). The skew is well documented as a market-wide liquidity proxy.
- **Strategic positioning by institutional investors.** Index CDS attract concentrated trading demand for macro credit hedging, making the index leg structurally tighter than the basket of single names that replicates it (**boyarchenko2016trends**).
- **Execution complexity of the replicating basket.** Replicating the index up to ~ 125 single-name positions per sub-index versus a single index contract, with bid-ask costs and margin spread across many bilateral lines at trade inception and exit.

The trade: go long/short the index versus the duration-weighted single-name basket, depending on the sign of the skew. Entered on the on-the-run series and held to convergence (no rolling). Both legs centrally cleared.

Market-Level Basis Time Series



Following duarte2007risk. Each individual trade is treated as a separate fictional fund (own entry/exit/return stream); the strategy index on any day is the weighted average of the returns of the funds active on that day.

Two weighting schemes:

Equal-Weighted (duarte2007risk)

$$r_t^{\text{EW}} = \frac{1}{K_t} \sum_{k=1}^{K_t} r_{k,t}$$

Signal-Weighted (rebonato2021convexity)

$$r_t^{\text{SW}} = \sum_{k=1}^{K_t} \frac{|b_{k,0} - \theta_{t_k}|}{\sum_{j=1}^{K_t} |b_{j,0} - \theta_{t_j}|} r_{k,t}$$

$b_{k,0}$: basis at entry of trade k ; θ_{t_k} : expanding-window historical equilibrium up to entry. Weight $\propto$ distance from equilibrium $\rightarrow$ richer dislocation, larger allocation.

Implementation choices.

- **SW dominates EW** on Sharpe and MPPM for all three strategies $\rightarrow$ SW baseline; EW in appendix confirms robustness.
- Three-regime classification on iTraxx Main 5Y — *LOW* (< 60 bps), *MID* (60–100 bps), *HIGH* (> 100 bps) — drives **regime-dependent transaction costs** (entry/exit fees proportional to DV01).

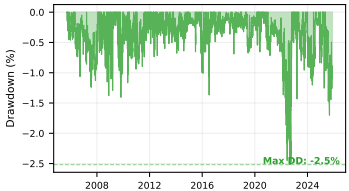
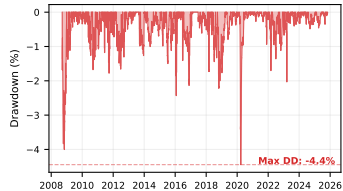
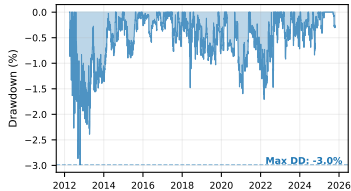
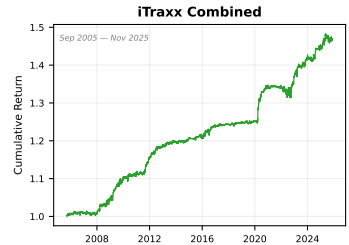
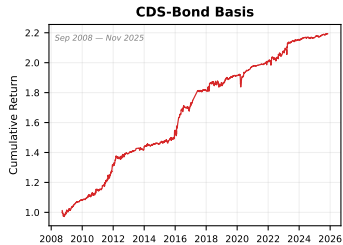
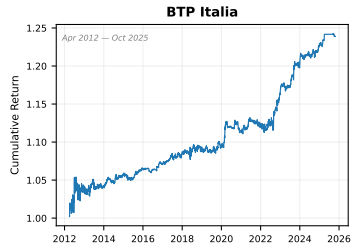
Annualised, daily data, net of regime-dependent transaction costs.

	<i>BTP Italia</i>	<i>CDS–Bond Basis</i>	<i>iTraxx Combined</i>
Sample	Mar 2012 – May 2025	Sep 2008 – May 2025	Sep 2005 – May 2025
Mean return (%)	1.67	5.37	1.96
Volatility (%)	2.36	3.15	2.58
Sharpe ratio	0.71	1.71	0.76
Skewness	+0.60	+2.81	+0.43
Max drawdown (%)	3.0	4.4	2.5
Basis ρ_1 (daily)	0.98	0.94	0.87

- Sharpe ratios from **0.71** (BTP Italia) to **1.71** (CDS–Bond) — economically large.
- *Positive skewness* for all three (max +2.81 for the CDS–Bond basis) $\Rightarrow$ cuts against “picking up nickels in front of a steamroller”.
- Persistence $\rho_1 \in [0.87, 0.98]$ on the underlying basis $\Rightarrow$ slow-moving capital signature

(duffie2010presidential)

Strategy Performance: Cumulative Returns and Drawdowns



MPPM and Volatility-Managed Performance

Manipulation-Proof Performance Measure (MPPM)

Strategy	MPPM (% p.a.)			Avg Return (% p.a.)	Vol Sharpe (% p.a.)	N
	$\rho = 2$	$\rho = 3$	$\rho = 4$			
CDS-Bond Basis	4.51	4.47	4.42	4.61	2.96	207
iTraxx <i>combined</i>	1.89	1.87	1.86	1.91	1.53	243
BTP-Italia	1.56	1.55	1.54	1.59	1.62	163

MPPM as in Goetzmann et al. (2007), based on monthly returns and reported in annualized percentage terms. All moments are annualized.

Volatility-Managed Portfolios (Moreira-Muir, 2017)

Strategy	Buy-and-Hold			Volatility-Managed			Regression			N
	Return (% p.a.)	Vol (% p.a.)	Sharpe	Return (% p.a.)	Vol (% p.a.)	Sharpe	Alpha (% p.a.)	Beta	R^2	
CDS-Bond Basis	4.52	2.88	1.57	3.08	2.88	1.07	+1.39	0.37	0.139	202
iTraxx <i>combined</i>	1.91	1.53	1.25	0.84	1.53	0.55	-0.16	0.53	0.279	242
BTP-Italia	1.52	1.60	0.95	0.37	1.60	0.23	-0.22	0.39	0.150	158

Volatility-managed portfolios scale exposure inversely with realized variance so that unconditional volatility matches buy-and-hold.

Regression alpha measures the volatility-timing premium from $r_{t+1}^{VM} = \alpha + \beta r_{t+1} + \varepsilon_{t+1}$.

- All three strategies deliver positive MPPM, with the highest utility-based performance for the CDS–Bond basis and iTraxx strategies.
- Volatility timing generates a sizable premium for the CDS–Bond basis, while effects are more modest for BTP Italia and iTraxx, consistent with their lower return variance.

We evaluate our three fixed-income arbitrage strategies under the established risk-factor models used in the literature:

- *Duarte, Longstaff & Yu (2007), Review of Financial Studies.*
Fixed-income arbitrage benchmark used to assess exposure to equity, credit and Treasury-based relative-value factors.
- *Fung & Hsieh (2004), Financial Analysts Journal.*
Trend-following and option-based factors widely used to benchmark hedge-fund strategies.
- *Brooks, Gould & Richardson (2020), Journal of Fixed Income.*
Active fixed-income premium decomposition: term, credit, EM, inflation-linked, and volatility premia.

US factors are mapped to their EUR counterparts. European equity factors use the Fama-French Europe datasets, converted from USD into EUR following the methodology of Glück, Hübel & Scholz (JPM, 2020). Trend-following factors (Fung-Hsieh) are global and directly applicable.

Duarte, Longstaff & Yu (2007) — 10-Factor FI Arbitrage Model

	α (% p.a.)	β_{Mkt-RF}	β_{SMB}	β_{HML}	β_{UMD}	β_{RS}	β_{RI}	β_{RB}	β_{R2}	β_{R5}	β_{R10}	R^2 adj	N
Panel A: US Factors													
<i>BTP Italia</i>	2.02*** (4.17)	-0.05*** (-3.49)	-0.02* (-1.72)	-0.02 (-1.60)	0.01 (0.44)	0.03*** (3.19)	0.03 (0.37)	-0.09 (-1.19)	-0.02 (-0.07)	-0.23 (-0.62)	0.21 (0.97)	0.106	163
<i>CDS Bond Basis</i>	4.58*** (5.87)	-0.03 (-0.90)	0.01 (0.45)	-0.00 (-0.11)	-0.01 (-1.01)	0.00 (0.16)	0.25*** (3.35)	-0.06 (-1.63)	0.19 (0.40)	-0.70* (-1.89)	0.26 (1.34)	0.178	207
<i>iTraxx Indices Skew</i>	1.86*** (4.71)	0.00 (0.31)	-0.02* (-1.68)	-0.02 (-1.38)	-0.01* (-1.92)	-0.00 (-0.09)	0.02 (0.50)	-0.02 (-1.04)	0.22 (0.74)	-0.07 (-0.31)	0.01 (0.10)	0.022	243
Panel B: EUR Factors													
<i>BTP Italia</i>	1.62*** (3.29)	-0.04* (-1.79)	-0.06*** (-2.86)	-0.03 (-1.42)	0.02 (1.13)	0.01 (1.01)	-0.03 (-0.27)	0.04 (0.49)	0.03 (0.06)	-0.04 (-0.14)	-0.02 (-0.16)	0.107	163
<i>CDS Bond Basis</i>	4.24*** (5.27)	0.00 (0.20)	0.04 (0.90)	0.03 (1.11)	-0.02 (-0.88)	-0.02* (-1.74)	0.45*** (3.94)	-0.06 (-1.57)	-0.27 (-0.45)	-0.04 (-0.10)	-0.10 (-0.71)	0.148	207
<i>iTraxx Indices Skew</i>	2.19*** (4.90)	-0.02 (-1.25)	-0.03** (-2.04)	-0.07** (-2.26)	-0.02* (-1.95)	0.01 (1.53)	0.05 (0.75)	-0.02 (-0.78)	0.06 (0.16)	0.05 (0.21)	-0.06 (-0.78)	0.057	243

Fung & Hsieh (2004) — 7-Factor Hedge Fund Model

	α (%)	$\beta_{S\&P}$	β_{SC-LC}	β_{BdOpt}	β_{FXOpt}	β_{ComOpt}	β_{10Y}	$\beta_{CredSpr}$	R^2 adj	N
Panel A: US Factors										
<i>BTP Italia</i>	1.84*** (3.82)	-0.02* (-1.94)	-0.02* (-1.89)	0.00 (0.90)	-0.00 (-0.00)	0.00 (0.86)	-0.02 (-0.50)	-0.04 (-1.05)	0.104	163
<i>CDS Bond Basis</i>	4.14*** (5.05)	-0.01 (-0.64)	0.01 (0.46)	0.00 (1.17)	-0.01** (-1.97)	0.00 (0.08)	0.13*** (3.33)	0.14*** (3.40)	0.115	207
<i>iTraxx Indices Skew</i>	1.75*** (4.44)	0.01 (0.65)	-0.02** (-2.02)	0.00 (0.39)	0.00 (1.03)	0.00 (0.52)	0.03 (1.11)	0.01 (0.51)	0.017	243
Panel B: EUR Factors										
<i>BTP Italia</i>	1.81*** (4.08)	-0.03** (-2.53)	-0.06*** (-2.70)	0.00 (1.25)	0.00 (0.03)	0.00 (1.09)	-0.01 (-0.27)	0.02 (0.30)	0.102	163
<i>CDS Bond Basis</i>	3.98*** (5.05)	-0.02 (-1.18)	0.05 (1.24)	0.00 (1.01)	-0.01* (-1.95)	-0.00 (-0.42)	0.17*** (3.43)	0.19*** (2.87)	0.110	207
<i>iTraxx Indices Skew</i>	1.84*** (4.49)	0.00 (0.41)	-0.02 (-1.50)	0.00 (0.60)	0.00 (1.01)	0.00 (0.57)	0.03 (0.83)	0.02 (0.62)	0.004	243

Brooks, Gould & Richardson (2020) — Active FI Premia

	α (% p.a.)	β_{Term}	$\beta_{GlobalTerm}$	$\beta_{GlobalAgg}$	$\beta_{Infl.Linkers}$	$\beta_{CorpCredit}$	$\beta_{EmergDebt}$	$\beta_{EmergCurr}$	β_{USTVol}	R^2 adj	N
Panel A: US Factors											
<i>BTP Italia</i>	1.99*** (4.56)	0.25** (2.50)	0.09 (0.28)	-0.35 (-0.90)	-0.06* (-1.85)	-0.04 (-0.79)	0.06 (1.25)	-0.01 (-0.35)	-11.05 (-0.57)	0.108	163
<i>CDS Bond Basis</i>	3.98*** (5.49)	-0.20 (-1.22)	-0.15 (-0.25)	0.47 (0.66)	-0.05 (-0.60)	-0.04 (-0.80)	0.13*** (3.32)	-0.01 (-0.40)	27.60 (0.97)	0.110	207
<i>iTraxx Indices Skew</i>	1.86*** (4.26)	0.07 (0.87)	-0.22 (-0.90)	0.26 (1.01)	-0.02 (-0.48)	0.06** (2.04)	-0.08** (-2.17)	0.01 (0.52)	34.05* (1.90)	0.059	243
Panel B: EUR Factors											
<i>BTP Italia</i>	1.98*** (3.83)	-0.01 (-0.28)	-0.05 (-0.15)	0.12 (0.45)	-0.06* (-1.84)	-0.11** (-2.07)	0.06 (1.20)	-0.02 (-0.67)	-0.63 (-0.03)	0.067	163
<i>CDS Bond Basis</i>	4.37*** (5.49)	0.07 (1.63)	-0.46 (-0.77)	0.32 (0.59)	-0.05 (-0.83)	-0.03 (-0.70)	0.14*** (2.98)	0.01 (0.40)	15.85 (0.58)	0.106	207
<i>iTraxx Indices Skew</i>	1.84*** (4.40)	-0.04* (-1.91)	-0.23 (-0.99)	0.45* (1.85)	0.01 (0.22)	0.02 (1.50)	-0.08** (-2.25)	0.01 (0.27)	38.28** (1.98)	0.059	243

Cross-Model Synthesis: Alpha is Robust and *State-Dependent*

Full-sample alpha (% p.a.)

	<i>BTP Italia</i>	<i>CDS–Bond</i>	<i>iTraxx</i>
Duarte et al. (2007)	+1.62***	+4.24***	+2.19***
Brooks et al. (2020)	+1.98***	+4.37***	+1.84***
Fung & Hsieh (2004)	+1.81***	+3.98***	+1.84***

Conditional Alpha (CFG(1998), α_1 per 1σ stress)

	<i>BTP Italia</i>	<i>CDS–Bond</i>	<i>iTraxx</i>
Duarte et al. (2007)	+1.20**	+2.10**	+0.93**
Brooks et al. (2020)	+0.85	+3.07***	+1.47***
Fung & Hsieh (2004)	+0.50	+1.73**	+1.51***

Regime decomposition (*LOW* < 60 — *MED* [60, 100) — *HIGH* ≥ 100 bps, *iTraxx Main 5Y*)

	Duarte et al. (2007)			Brooks et al. (2020)			Fung & Hsieh (2004)		
	LOW	MED	HIGH	LOW	MED	HIGH	LOW	MED	HIGH
<i>BTP Italia</i>	+0.78	+1.97***	+3.05*	+1.03**	+2.31***	+3.95*	+0.95	+2.05***	+3.33*
<i>CDS–Bond Basis</i>	+2.15**	+4.01***	+7.11***	+2.54***	+4.09***	+7.61***	+2.27**	+3.65***	+6.70***
<i>iTraxx Combined</i>	+0.97**	+2.69***	+3.27***	+0.79**	+2.15***	+3.21***	+0.50	+2.23***	+3.34***

- *Full-sample*: alpha consistent across the three frameworks.
- *Regime decomposition*: HIGH-stress alpha is **2–4×** NORMAL alpha—in every cell.
- *Conditional alpha*: $\alpha_1 > 0$ everywhere; sig. at 1% for the institutional strategies $\Rightarrow$ **slow-moving capital signature**.

The three benchmarks of Section 3:

- Alpha positive and significant across all 9 cells
- $\bar{R}^2 \in [1\%, 18\%]$ — bulk of return variation *unexplained*

Two open questions:

- ① Are there *other* risk factors — outside the standard benchmarks — that span these returns?
- ② If alpha survives even with a much richer factor universe, the case for genuine mispricing strengthens.

Strategy:

- Assemble **85 candidate factors** from the empirical asset pricing, intermediary, and macro-finance literatures.
- Two complementary approaches to exploit the broader factor universe: **rolling PCA** (ludvigson2009macro) and **Adaptive Elastic Net** with stability selection (zou2009adaptive; meinshausen2010stability).

Factor universe (organized in 6 families)

- *Credit risk* (e.g., CDS indices, excess bond premium, sovereign spreads)
- *Liquidity & funding stress* (e.g., OIS spreads, repo indicators, noise/illiquidity measures)
- *Equity / intermediary proxies* (e.g., BAB, value, momentum)
- *Volatility* (e.g., VIX/V2X, MOVE, option-implied measures, trend-following)
- *Macro uncertainty & policy* (e.g., uncertainty indices, EPU, financial conditions)
- *Rates & term structure* (e.g., term, slope, swap spreads)

$2^{85} \approx 3.87 \times 10^{25}$ subsets $\Rightarrow$ exhaustive search infeasible $\Rightarrow$ penalised methods needed.

Setup (ludvigson2009macro):

- Rolling PCA, window $W = 24$ months, $K = 8$ components. Across rolling windows, the eight components explain 80.8% of variance on average (75.7%–87.8%).
- Standardisation *within* each estimation window $\Rightarrow$ no look-ahead.
- Both contemporaneous ($PC_t \rightarrow r_t$) and predictive ($PC_t \rightarrow r_{t+1}$) timing.

Strategy	Contemporaneous		Predictive	
	α (% p.a.)	$\bar{R}^2$	α (% p.a.)	$\bar{R}^2$
<i>BTP Italia</i>	+1.61*** (3.48)	0.054	+1.68*** (4.05)	−0.005
<i>CDS–Bond Basis</i>	+5.87*** (5.74)	0.120	+5.43*** (5.91)	0.050
<i>iTraxx Combined</i>	+2.21*** (5.01)	0.049	+2.07*** (5.38)	0.041

- Alpha survives at 1%** for all three strategies, both timings.
- $\bar{R}^2$ stays low (0–12%) $\Rightarrow$ we turn to **machine-learning** methods (AEN) to identify factors that better span these returns.

Two-stage penalised regression of zou2009adaptive:*Stage 1 — standard Elastic Net:*

$$\hat{\beta}^{\text{EN}} = \arg \min_{\beta} \left\{ \frac{1}{T} \sum_t (r_t - \alpha - \beta' f_t)^2 + \underbrace{\lambda_2 \|\beta\|_2^2}_{\ell_2 \text{ ridge}} + \underbrace{\lambda_1 \|\beta\|_1}_{\ell_1 \text{ LASSO}} \right\}.$$

Stage 2 — adaptive re-weighting:

$$\hat{\beta}^{\text{AEN}} = \arg \min_{\beta} \left\{ \frac{1}{T} \sum_t (r_t - \alpha - \beta' f_t)^2 + \underbrace{\lambda_2 \|\beta\|_2^2}_{\ell_2 \text{ ridge}} + \underbrace{\lambda_1 \sum_{j=1}^p w_j |\beta_j|}_{\text{adaptive } \ell_1} \right\}, \quad w_j = |\hat{\beta}_j^{\text{EN}}|^{-\gamma}, \quad \gamma = 1.$$

- **Adaptive weights** w_j concentrate the penalty on irrelevant factors and relax it on relevant ones $\Rightarrow$ restores the *oracle property* (LASSO is inconsistent under correlated factors).
- **Ridge term** $\Rightarrow$ *grouping effect*: highly correlated factors selected/dropped *together*, not arbitrarily.
- **Stability selection** (**meinshausen2010stability**): $B = 100$ stationary bootstrap (expected block 9m), retain factor only if selection frequency $\hat{\pi}_j \geq 80\% \Rightarrow$ formal guarantee on expected false selections.
- **Post-selection OLS** on stable set, with Newey–West HAC $\Rightarrow$ unbiased inference + sparsity.

AEN Stable-Factor Model: BTP Italia

Variable	Coefficient	t-stat	p-value
α	+1.39***	3.34	0.00
SMB _{EU}	-0.04**	-2.30	0.02
ILLIQ	+0.64**	2.50	0.01
SS10Y	-0.02***	-3.26	0.00
UMD _{EU}	+0.03**	1.96	0.05
CDX _{IG}	+0.01	1.60	0.11
LIBOR _{OIS}	+0.49*	1.90	0.06

Model fit	
T (obs)	157
k (factors)	6
R^2	0.2474
R^2_{adj}	0.2173
Durbin–Watson	2.0351

(α) annualized %.
 *** $p < 1\%$, ** $p < 5\%$,
 * $p < 10\%$.

- SMB_{EU}: European equity size factor (small – big caps).
- ILLIQ: Change in the Amihud illiquidity shock measure.
- SS10Y: 10Y EUR swap spread (par swap rate – 10Y Bund yield).
- UMD_{EU}: European equity momentum factor (winners – losers).
- CDX_{IG}: First difference of the CDX Investment Grade index CDS spread.
- LIBOR_{OIS}: Libor–OIS spread (3M LIBOR – 3M OIS).

Fama and French (2017)
Amihud and Mendelson (2015)
Collin-Dufresne et al. (2001)
Carhart (1997)
Klaus and Rzepkowski (2009)
Nyborg and Ostberg (2014)

AEN Stable-Factor Model: CDS–Bond Basis

Variable	Coefficient	<i>t</i> -stat	<i>p</i> -value
α	+3.94***	3.66	0.00
ΔUF	-4.27***	-2.61	0.01
RI_{EU}	+0.16***	3.27	0.00
$\text{PB}_{\text{EU_CDS_1Y}}$	+0.01**	2.02	0.04
EMERG_{FX}	+0.06**	1.99	0.05
SS5Y	+0.02**	2.33	0.02
$\text{CRED}_{\text{SPR_US}}$	-0.51**	-2.20	0.03
$\text{EP}_{\text{SVIX_1M}}$	+3.25***	2.82	0.00
PTFSFX	-0.45*	-1.74	0.08

Model fit	
<i>T</i> (obs)	197
<i>k</i> (factors)	8
R^2	0.2969
R^2_{adj}	0.2670
Durbin–Watson	2.0233

(α) annualized %.
 *** $p < 1\%$, ** $p < 5\%$,
 * $p < 10\%$.

- ΔUF : Change in financial uncertainty index.
- RI_{EU} : Euro investment-grade industrial bond return factor.
- $\text{PB}_{\text{EU_CDS_1Y}}$: European prime broker 1Y CDS spread (counterparty risk).
- EMERG_{FX} : Equal-weighted basket of emerging market currencies vs USD.
- SS5Y : 5Y EUR swap spread (par swap rate – 5Y Bobl yield).
- $\text{CRED}_{\text{SPR_US}}$: US credit spread factor (Moody's BAA – AAA yield).
- $\text{EP}_{\text{SVIX_1M}}$: Option-implied equity premium via SVIX, 1-month horizon.
- PTFSFX : Currency trend-following factor (lookback straddles on FX futures).

Ludvigson et al. (2021)
Collin-Dufresne et al. (2001)
Klaus and Rzepkowski (2009)
Brooks et al. (2020)
Collin-Dufresne et al. (2001)
Fama and French (1989)
Martin (2017)
Fung and Hsieh (2004)

AEN Stable-Factor Model: iTraxx Combined

Variable	Coefficient	t-stat	p-value
α	+0.47	1.04	0.30
EP_{SVIX_1M}	+3.31***	2.89	0.00
$LIBOR_{OIS}$	+0.48**	2.21	0.03
$\Delta V2X$	-0.02**	-2.55	0.01
ΔUR	+3.01**	2.35	0.02
$\Delta FAILS_{PCT_TSY}$	+0.40***	3.20	0.00

Model fit

T (obs)	237
k (factors)	5
R^2	0.2521
R^2_{adj}	0.2359
Durbin–Watson	2.2489

(α) annualized %.
 *** $p < 1\%$, ** $p < 5\%$,
 * $p < 10\%$.

- EP_{SVIX_1M} : Option-implied equity premium via SVIX, 1-month horizon. *Martin (2017)*
- $LIBOR_{OIS}$: Libor–OIS spread (3M LIBOR – 3M OIS). *Nyborg and Ostberg (2014)*
- $\Delta V2X$: Change in V2X (30-day implied vol on Euro STOXX 50). *Chung et al. (2019)*
- ΔUR : Change in real-activity uncertainty index. *Ludvigson et al. (2021)*
- $\Delta FAILS_{PCT_TSY}$: Change in U.S. Treasury fails-to-deliver / total debt outstanding. *Fleckenstein et al. (2014)*

Cross-Method Comparison: Benchmarks vs PCA vs AEN

Method	<i>BTP Italia</i>		<i>CDS–Bond</i>		<i>iTraxx</i>	
	α (%)	$\bar{R}^2$	α (%)	$\bar{R}^2$	α (%)	$\bar{R}^2$
Duarte (k=10)	+1.65***	0.108	+5.14***	0.144	+2.26***	0.091
Brooks (k=8)	+1.96***	0.009	+5.07***	0.039	+1.96***	0.008
Fung–Hsieh (k=7)	+1.86***	0.111	+4.67***	0.112	+3.48***	0.051
PCA (K=8)	+1.61***	0.054	+5.87***	0.120	+2.21***	0.049
AEN (k=6/8/5)	+1.39***	0.217	+3.94***	0.267	+0.47	0.236

- $\bar{R}^2$ jumps from 1–18% (benchmarks) to $\sim 22\text{--}27\%$ (AEN): the AEN-selected factors absorb a much larger share of strategy return variation than any classical benchmark.
- Alpha survives PCA and AEN for BTP Italia and CDS–Bond Basis: a residual premium remains. For iTraxx Combined alpha collapses ($t \approx 1.04$): the skew premium is fully absorbed by AEN factors.

The AEN-selected factor sets are **economically interpretable** and **differ sharply across strategies**, mapping onto the economic structure of each trade.

- **BTP Italia** → *liquidity, funding, term-structure, and equity style* (Amihud illiquidity, Libor–OIS, 10Y EUR swap spread, SMB).
- **CDS–Bond Basis** → *the classical intermediary asset-pricing channel* (European PB CDS, Δ UF, EP_SVIX, 5Y swap spread) — exactly the channel slow-moving capital predicts for a trade requiring continuous repo financing of the cash bond (**boyarchenko2016trends**).
- **iTraxx Combined** → *aggregate funding stress and market-wide volatility* (EP_SVIX, Libor–OIS, Δ V2X, Treasury fails) — consistent with the characterisation of the index skew as a market-wide liquidity proxy (**junge2015liquidity**). The collapse of residual alpha under these factors reinforces this reading.

What we have established:

- Alpha exists, robust to benchmarks, PCA on 85 factors, AEN with stability selection.
- Alpha rises in stress (regime decomposition, conditional alpha (CFG 1998), rolling).

The deeper question:

Why does alpha persist, and are the three mispricings linked?

Theoretical anchors:

- **duffie2010presidential** — qualitative framework of slow-moving capital.
- **brunnermeier2009market** — formal model with Proposition 6 on commonality of liquidity.
- **mittchell2012arbitrage** — empirical cross-strategy mechanism (*several months* timescale).
- **boyarchenko2016trends** — post-crisis equilibrium and funding-dependence.
- **fleckenstein2014tips** — cross-arbitrage spanning methodology.

Five Testable Predictions of Slow-Moving Capital

Prediction	
P1	Mispricings serviced by a common pool of intermediary capital should <i>co-move</i> .
P2	The co-movement should <i>intensify</i> when intermediary capital is scarce.
P3	Mispricing changes in one strategy should <i>predict</i> those of others, propagating asymmetrically along the liquidity gradient.
P4	The <i>persistence</i> of mispricing levels should reflect the funding-dependence of each arbitrage trade, with strategies that require continuous balance-sheet funding displaying the longest half-lives.
P5	A common factor extracted from the co-movement should be explained by intermediary balance-sheet variables, <i>not</i> macro fundamentals.

Arbitrageur (all three strategies): Institutional —
hedge funds, dealer prop desks, leveraged accounts.

Institutional bondholder base
CDS–Bond Basis, iTraxx Combined
Counterparty subject to margin calls,
VaR limits, balance-sheet constraints.

VS

Retail bondholder base
BTP Italia
Households (loyalty bonus, inflation
hedge for IT investors). No lever-
age, no margin calls, buy-and-hold.

Why this matters (brunnermeier2009market + vyanos2021preferred):

- **Institutional bondholder pair:** stress → VaR spikes → risk budget exhausted → *both* bondholders + arbitrageurs unwind.
- **Retail bondholder:** insulated from funding shocks → no forced selling → basis remains open for arbitrageurs who can still deploy capital.

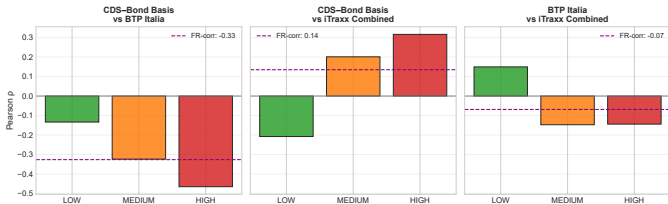
Identification: *if co-movement were driven by macro, all three would move in the same direction regardless of who holds the bond.*

Pearson correlations of mispricing changes $\Delta m_{i,t}$, unconditional. HAC inference.

Pair	Pearson ρ	t-HAC	p-value	N
CDS–Bond Basis vs BTP Italia	−0.298 * **	-3.01	0.003	206
CDS–Bond Basis vs iTraxx Combined	+0.191*	1.70	0.089	206
BTP Italia vs iTraxx Combined	−0.100	-1.07	0.285	156

- **Within institutional pair** (CDS–Bond ↔ iTraxx): positive correlation $\Rightarrow$ consistent with a common pool of dealer capital.
- **Across investor bases** (BTP Italia pairs): negative correlation $\Rightarrow$ first signal of segmentation.
- Foundational anchor: **duffie2010** presidential catastrophe-insurance analogy + **brunnermeier2009** market commonality of liquidity (Prop. 6(i)).

Regime correlations (Fig. 14):



Interaction $\hat{\beta}_1$:

$$\Delta m_i = \beta_0 \Delta m_j + \beta_1 (\Delta m_j \times z_t) + \gamma z_t + \varepsilon$$

Direction	$\hat{\beta}_1$
BTP $\rightarrow$ CDS-Bond Basis	-0.0862
CDS-Bond Basis $\rightarrow$ BTP	-0.6367 * **
iTraxx $\rightarrow$ CDS-Bond Basis	+0.0165
CDS-Bond Basis $\rightarrow$ iTraxx	+0.0795*
iTraxx $\rightarrow$ BTP	-0.6177
BTP $\rightarrow$ iTraxx	-0.0196

- **Institutional pair (CDS-Bond $\leftrightarrow$ iTraxx):** ρ rises monotonically LOW $\rightarrow$ HIGH $\Rightarrow$ *commonality of fragility (brunnermeier2009market)*.
- **Cross-base pairs (BTP $\leftrightarrow$ inst.):** deeper negative correlation in HIGH (with sign reversal for BTP $\leftrightarrow$ iTraxx) $\Rightarrow$ *flight to quality (brunnermeier2009market)*.
- Interaction β_1 confirms continuous stress amplification with sign asymmetry.

$$\Delta m_{i,t} = \alpha + \sum_{j \neq i} \sum_{l=0}^2 \beta_{j,l} \Delta m_{j,t-l} + \varepsilon_t \quad \text{— design of fleckenstein2014tips.}$$

Spanning regressions (significant lead-lag):

Lead → Lag	$\hat{\beta}$	p
CDS–Bond Basis → BTP	−0.42 **	0.015
BTP → CDS–Bond Basis	−0.15 **	0.028
iTraxx _{t−1} → CDS–Bond Basis	+0.71*	0.053
BTP _{t−2} → iTraxx	+0.03*	0.058
All other coefficients $p > 0.10$.		

Granger causality (VAR on Δm):

From	To	p -value
BTP	→ CDS–Bond Basis	0.818
iTraxx	→ CDS–Bond Basis	0.011**
CDS–Bond Basis	→ BTP	0.080*
iTraxx	→ BTP	0.007***
CDS–Bond Basis	→ iTraxx	0.904
BTP	→ iTraxx	0.490

- **True lead-lag:** only iTraxx_{t−1} predicts the CDS–Bond basis ($\hat{\beta} = +0.71^*$). Other significant terms (CDS–Bond→BTP, BTP→CDS–Bond) are contemporaneous.
- **Direction (Granger):** iTraxx Granger-causes both — BTP Italia ($p=0.007$) and the CDS–Bond basis ($p=0.011$); neither reverse direction is significant.
- **Hierarchy:** iTraxx (most liquid) → CDS–Bond → BTP Italia, consistent with cross-strategy capital reallocation of mitchell2012arbitrage.

P4: Persistence Reflects Funding-Dependence

$m_{i,t} = c_i + \phi_i m_{i,t-1} + u_{i,t}$, *monthly mispricing levels*. Half-life $h^* = \ln(0.5)/\ln(\phi_i)$.

Strategy	ϕ	HAC t	Half-life (months)
CDS–Bond Basis	0.791	(14.5)	3.0
BTP Italia	0.727	(13.9)	2.2
iTraxx Combined	0.726	(10.0)	2.2

- **CDS–Bond is the most persistent** (half-life ≈ 3 months): the only strategy that requires *continuous repo financing* of the cash bond on dealer balance sheets (**boyarchenko2016trends**).
- **BTP Italia and iTraxx mean-revert faster and are essentially identical** (half-life ≈ 2 months at $\phi \approx 0.73$): the two less funding-intensive strategies are statistically indistinguishable from each other in monthly persistence.
- Persistence is segregated by **funding-dependence of execution**: only the strategy requiring continuous repo financing of a cash bond stands apart from the two derivative-based bases.

P5: Common Factor → Intermediary Capital, *not* Macro

Factor	Coefficient	p -value
Panel A: Core Intermediary Proxies		$T = 149, \bar{R}^2 = 0.233$
HKM	-4.278^{**}	0.026
LIBOR_OIS	$+3.349^{***}$	0.002
PB_CDS_5Y_EU	$+0.349^*$	0.054
ILLIQ	$+1.766^{***}$	0.005
Panel C: Macroeconomic Placebo		$T = 151, \bar{R}^2 = 0.106$
Δ UM	$+0.363$	0.977
Δ UR	$+10.313$	0.223
5Y5Y_INFL	-0.627	0.516
EPU_EU	$+0.003$	0.187

- **Panel A:** all four intermediary proxies significant with the predicted sign $\Rightarrow$ direct empirical content of **duffie2010presidential** and Prop. 6(i) of **brunnermeier2009market**.
- **Panel C (placebo):** *none* of the four macro proxies is significant; model not jointly significant (F -test $p=0.23$) $\Rightarrow$ confirms common factor is balance-sheet, not macro.

All Five Predictions Find Support

P	Statement	Empirical evidence	
P1	Cross-market correlation	$\rho_{\Delta m} = +0.19^*$ (CDS–Bond Basis vs iTraxx Combined)	✓
P2	Stress amplification	$\rho_{\text{LOW}} = -0.21 \rightarrow \rho_{\text{HIGH}} = +0.32$	✓
P3	Lead-lag transmission	BTP Italia $\bar{R}^2 = 10.0\%$ (iTraxx leads at 1%)	✓
P4	Persistence reflects funding-dependence	CDS–Bond Basis $\sim 3.0\text{m}$; BTP Italia, iTraxx Combined $\sim 2.2\text{m}$ (essentially identical)	(partial)
P5	Common factor = intermediary, not macro	Intermediary $\bar{R}^2 = 23.3\%$ vs Macro placebo $\bar{R}^2 = 10.6\%$ (n.s.)	✓

Three reinforcing mechanisms:

- **Regulatory cost of intermediary capacity** (boyarchenko2016trends):
post-crisis SLR and Basel III have permanently raised the cost of dealer balance sheet, lifting the equilibrium level of basis trades — evident in the high persistence of CDS–Bond ($\phi = 0.79$, P4).
- **Slow-moving capital across strategies** (duffie2010presidential; mitchell2012arbitrage):
capital reallocates across the dealer network on a horizon of several months. iTraxx adjusts first, BTP Italia last (P3), and the common factor is intermediary balance-sheet, not macro fundamentals (P5).
- **Investor-base segmentation as a structural feature:**
BTP Italia retail bondholders generate a preferred-habitat (vayanos2021preferred) structurally insulated from institutional unwinding — the basis remains open for arbitrageurs who can deploy capital, but the funding-dependence of execution determines who can.

Bottom line: the geography of slow-moving capital is determined not by asset-class labels but by the network of intermediaries that service these markets — and ultimately by who holds the bonds.